

NextEra Energy, Inc.

NEE NYSE

Buy	\$87.74 ▼ 1.04%	12M Price Target \$102.00	52-Week Range \$67.54 – \$98.75	Market Cap \$182.99B
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NEE: AI Power Demand Story Intact, Policy Risk Lingers

WHAT HAPPENED

- NEE drifted down 1% on super light volume (1.8M shares vs usual 13M+) — that's not real selling, that's just a quiet pre-holiday tape. Don't read much into the move itself.
- The bigger story: two articles dropped questioning whether utilities like NEE can actually meet the insane power demand from AI data centers. The Oilprice piece basically says "even Musk can't solve this" — which sounds bad but is actually bullish long-term because it means demand for NEE's power is structurally undersupplied.

WHY IT MATTERS

Here's the dot to connect: the market is wrestling with a paradox on NEE. On one hand, AI data centers need ENORMOUS amounts of power and NEE is the biggest renewables developer in the country — that's a massive tailwind. On the other hand, the Trump administration has been actively unwinding the Inflation Reduction Act's clean energy tax credits (the subsidies that make wind/solar projects profitable), and that's the overhang keeping NEE from breaking out to new highs. The fact that the stock is at 65% of its 52-week range despite the AI narrative tells you the policy headwind is real and being priced in — but if NEE can prove it can grow earnings even with reduced subsidies, this thing re-rates higher.

POLICY & POLITICAL WATCH

The big one to watch: the "One Big Beautiful Bill" reconciliation package that's been working through Congress aims to phase out IRA renewable tax credits faster than originally scheduled — wind and solar projects that don't start construction by certain deadlines lose the credits. NEE has been front-loading project starts to lock in credits, which is smart, but new projects after 2027 face a tougher economic picture. Counter-tailwind: FERC (the federal energy regulator) is fast-tracking grid interconnection rules to handle AI data center demand, which directly helps NEE's pipeline. Net-net: the policy environment is mixed-to-slightly-negative, but not catastrophic.

IS IT EXPENSIVE?

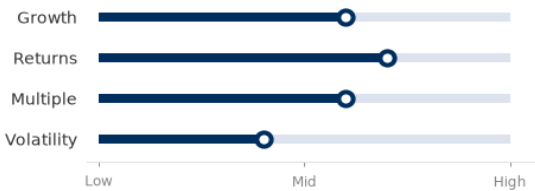
At ~23x forward earnings (you're paying \$23 for every \$1 of next year's profit), NEE trades at a premium to regular utilities like Duke or Southern (~19x) but that premium is justified by faster earnings growth (~8% vs ~5-6% for peers). The stock isn't cheap, but it's not bubbly either — it's basically priced for "growth utility executes the AI demand opportunity." If you believe data center power demand is real and durable, this is fair value with upside.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$87.74
12M Price Target	\$102.00
Upside / (Downside)	+16.3%
Market Cap	\$182.99B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,100M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$88.00	\$82.00
6 Months	\$98.00	\$92.00	\$78.00
1 Year	\$110.00	\$102.00	\$75.00
2 Years	\$130.00	\$115.00	\$70.00
5 Years	\$175.00	\$140.00	\$65.00
10 Years	\$250.00	\$190.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.09% today, +2.76% week) — AI narrative is back in full force, and that indirectly helps NEE because data centers need power. Industrials also strong on infrastructure spending themes.

COOLING OFF: Energy (flat today, -1.62% week) — oil prices soft, and traditional energy is losing momentum as the AI power story shifts to electricity, not hydrocarbons.

ROTATION WATCH: Money is rotating from traditional energy into electricity/grid plays. NEE sits right in that sweet spot but is being held back by clean energy policy headwinds — that's why it's not running with tech.

RELATED PLAY: If you like the AI power thesis but want less policy risk, look at Constellation Energy (CEG) which sells nuclear power to hyperscalers, or Vistra (VST) — both are riding the same wave with cleaner political optics.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Pure-play on AI data center power deals (Microsoft nuclear contract) — no IRA exposure, all upside.
- VST (Vistra): Texas power generator with nuclear + gas exposure; hyperscalers are signing direct power purchase agreements.

NEE CONTEXT: NEE is LAGGING its AI-power peers because of the renewables policy overhang — CEG and VST are up huge while NEE grinds sideways. That's actually the opportunity: NEE has the biggest pipeline of new generation in the country, and if policy fears ease even slightly, the catch-up trade is meaningful.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the policy overhang keeps me from pounding the table. The AI power demand is real, NEE is best positioned, but Washington is the wildcard.

POSITION SIZE: 3-5% of portfolio — this is a core holding-quality name, not a swing-for-the-fences trade. Steady compounder with optionality.

ENTRY POINTS: Add on pullbacks to \$82-85, especially if the broader market wobbles. Options flow shows bullish positioning (put/call ratio 0.60, meaning more bets on it going up than down) so dips should get bought.

TIME HORIZON: 12-24 months — you're waiting for two catalysts: (1) clarity on IRA policy in the reconciliation bill, (2) data center contract announcements showing up in earnings.

WHEN TO BAIL: If IRA credits get fully repealed (not just phased out), or if the Florida rate case goes badly, or if the stock breaks below \$75 on heavy volume — that means the thesis is broken.

HEDGING: Easiest hedge is owning a non-renewable utility alongside (like Southern Company) so you're not betting the whole basket on clean energy policy. If you want fancier protection, buy a few out-of-the-money puts before the next earnings report.